DIAGNOSTIC WORKBOOK

Don't Bet the Business

Validating strategic assumptions before committing capital

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CONTENTS

Worksheets in this workbook

Each worksheet is designed to be used in a leadership session — not read passively. Work through the questions with your management team, using your actual financial and operational data. The answers that are hardest to write down are the ones that matter most.

BOOK THREE · DON'T BET THE BUSINESS
Validating strategic assumptions before committing capital

Worksheet 3.1

Ghosts of CAPEX Past

Look back at your last three major capital investments that underperformed or failed. Work from actual financial records — not memory. This exercise must be done with your balance sheet and P&L; open.

Failed strategic decision	Untested assumption that	False signal that triggered it	Actual financial outcome

THE DIAGNOSIS
When these are written down, the room usually goes quiet. Use this silence as data. The pattern of false signals — enthusiastic customers, competitor announcements, idle capacity hallucinations — almost always repeats. Name the pattern before the next capital decision.

BOOK THREE · DON'T BET THE BUSINESS
Validating strategic assumptions before committing capital

Worksheet 3.2

Flexibility Stress Test

For your next proposed capital investment, apply each question before signing the loan document. This worksheet protects your balance sheet.

What is the total capital commitment, including installation, tooling, and working capital required?

Give the actual Rs. figure — not a rough estimate.

What is the monthly fixed cost obligation once the capital is deployed?

EMI + depreciation + incremental overhead — calculate precisely.

If the primary market assumption proves false, what is the exit cost?

Can the asset be sold? At what percentage of purchase price?

What is the minimum monthly revenue required to service the capital commitment?

How many months of runway does the business have if that revenue does not materialise?

This is the risk your balance sheet is absorbing.

Name the single assumption that, if false, makes this investment unrecoverable:

This is your Deal Killer. It must be tested before signing.

THE DIAGNOSIS

If the exit cost is high and the runway is short, the investment must be preceded by a Thin-Slice experiment that validates the core assumption. Capital without prospective data is not investment — it is gambling.

BOOK THREE · DON'T BET THE BUSINESS
Validating strategic assumptions before committing capital

Worksheet 3.3

WWHTBT Assumption Mapping

Write your proposed strategic possibility at the top. Then generate every assumption the strategy depends on across the three buckets below. Do not filter — write everything.

Strategic Possibility being evaluated — write it here:

Be specific: Where to Play + How to Win in one sentence.

CUSTOMER BUCKET — DESIRABILITY

Will the target buyer actually care about the advantage we are building? Will they pay the premium price we need to charge — validated by a signature, not a smile? Are they structurally allowed to buy from us, or locked into legacy contracts?	
What is the typical supplier switching cycle in this buyer category?	

COMPETITOR BUCKET — VIABILITY

Will the massive industry giants ignore our entry because our niche is too small to care about?	
Do competitors lack the specific technical capability to quickly copy our advantage?	
What must be true about government regulations for this strategy to remain commercially viable?	
What must be true about raw material availability and pricing over the next three years?	

COMPANY BUCKET — FEASIBILITY	
Can our factory physically produce this new product at the target quality and cost?	
Do we have, or can we hire, the exact talent required to execute this strategy?	
Can our working capital support the transition period before premium revenue arrives?	
Will our sales team actually know how to sell this new advantage — or will they default to discounts?	

THE DIAGNOSIS

When complete, this table is the full DNA of the strategy. The assumptions that are both Low Confidence and mission-critical are the Kill Zone — these are tested before any money is spent.

BOOK THREE · DON'T BET THE BUSINESS

Validating strategic assumptions before committing capital

Worksheet 3.4

Critical Assumption Ranking

Take the assumptions from Worksheet 3.3 and rank them by fragility. The Barrier to Choice is the assumption that is both most uncertain and most critical to the strategy's survival.

Which single assumption, if proven false, would immediately collapse the entire strategy?

This is the Barrier to Choice — the Deal Killer. Name it precisely.

How confident are you in this assumption right now? Score 1–10, where 1 = pure guess:

Justify the score. What is it based on?

What is the cheapest and fastest way to generate real market data about this assumption?

Describe the specific experiment — not a vague 'market study'.

What specific metric would prove this assumption true?

'Customer interest' is not a metric. 'Signed LOI at stated price' is.

What specific metric would definitively prove this assumption false?

Establish this before running the test — not after seeing the results.

THE DIAGNOSIS

If the team cannot articulate a specific, measurable metric for both success and failure, the experiment has not been designed properly. Vague success criteria produce vague data and fuel endless boardroom arguments.

BOOK THREE · DON'T BET THE BUSINESS

Validating strategic assumptions before committing capital

Worksheet 3.5

Experiment Design Matrix

Design your Thin-Slice experiment to test the Barrier to Choice. The experiment must meet all three non-negotiable constraints: under Rs. 2 Lakhs, under 45 days, highly inefficient by design.

The specific assumption being tested:

Copy exactly from Worksheet 3.4.

The exact experiment design — what will you do, with whom, in what sequence?

Be operationally specific. Who calls whom? What is shown? What is asked?

Budget — Cost of Learning. Must be under Rs. 2 Lakhs:

If it exceeds this, it is not a test. Redesign.

Timeline to result. Must be under 45 days:

If it exceeds this, it is not a test. Redesign.

Definition of success — the specific metric that means Persevere:

Definition of failure — the specific metric that means Kill or Pivot:

THE DIAGNOSIS

If the experiment costs more than Rs. 2 Lakhs or takes more than 45 days, it is not a test — it is an investment. Redesign until it meets both constraints.

BOOK THREE · DON'T BET THE BUSINESS

Validating strategic assumptions before committing capital

Worksheet 3.6

Fake Door Design

For major strategic pivots requiring significant CAPEX, the Fake Door Test generates prospective data before any permanent capability is built. Complete every row before opening the door.

What specific capability are we presenting to the buyer as if it already exists?

What tangible commitment are we asking the buyer to make?

LOI, deposit, signed PO — not verbal interest. Specify the exact document.

What is the graceful exit script if the buyer says yes and we cannot yet fully deliver?

Design this before the test begins — not after.

What is the exact sales pitch the team will use?

Write it word for word. Ambiguity in the pitch produces ambiguous data.

How many buyers must respond positively for the signal to be statistically meaningful?

By what exact date must the test be completed?

THE DIAGNOSIS

Interest is not prospective data. A signature is prospective data. The experiment has only two valid results: the market committed with a signature, or it did not. Verbal enthusiasm is not a yes.

BOOK THREE · DON'T BET THE BUSINESS
Validating strategic assumptions before committing capital

Worksheet 3.7

Signal Decoder

When experiment results come in, classify each signal before the boardroom debates it. This worksheet prevents Confirmation Bias from distorting the data.

What did the market actually do? Describe the exact observable behaviour:

Do not interpret — describe what physically happened.

Was a financial commitment made — LOI, PO, or deposit? Yes or No:

If No, the answer is not Persevere regardless of how promising it looked.

Was the response a False Positive — polite interest with no commitment?

If yes, describe what was said and why it is a False Positive.

Was the response a Conditional Yes — yes, but with changed parameters?

If yes: what changed? Is the strategy still viable with these parameters?

Was the response a Hard No — structural rejection of the premise?	*If yes: what was the specific reason? Is it a Kill or a Pivot signal?*
Based on data only — state the verdict: Kill / Pivot / Tweak / Persevere:	*Do not revisit this decision without new data.*

THE DIAGNOSIS

The verdict must be based exclusively on the pre-established metric from Worksheet 3.5. If the metric was not hit, the answer is not Persevere.

BOOK THREE · DON'T BET THE BUSINESS

Validating strategic assumptions before committing capital

Worksheet 3.8

Capital Release Valve

Complete this checklist before signing any capital commitment. All three pillars must be fully confirmed. A single weak pillar means the capital commitment is premature.

PILLAR 1 — DEMAND VELOCITY: Is there a signed volume commitment — LOI, blanket order, or 12-month forecast?

State the exact document, the buyer name, and the committed volume.

What is the committed annual volume in units and Rs.? From how many buyers?

One buyer is not enough. Name the minimum number required.

PILLAR 2 — MARGIN DEFENSIBILITY: At the premium price the buyer agreed to, what is the projected EBITDA margin with the new equipment?

Run the full unit economics — cycle time, tooling, energy, amortisation.

Is this margin meaningfully higher than the current business EBITDA average?	*State both percentages explicitly.*
PILLAR 3 — OPERATIONAL BLUEPRINT: Is the complete Activity System fully specified — equipment, talent, process, KPIs?	*If any element is unspecified, complete it before signing.*
What is the Tranche 1 capital commitment — the minimum needed to serve confirmed demand only?	*Do not buy Year 3 capacity on Day 1. State the Tranche 1 number.*

THE DIAGNOSIS

If any of the three pillars is incomplete, the capital commitment is premature. Holding the line here — even when pressure to act is intense — is the single most important discipline in strategic capital allocation.

BOOK THREE · DON'T BET THE BUSINESS

Validating strategic assumptions before committing capital

Worksheet 3.9

Strategic Learning Dashboard

Use this template for the Monthly Strategic Learning Review — the forward-looking meeting that runs alongside the Monthly Operations Review.

Strategic assumption under	Experiment currently running	Data collected this month	Verdict / Next action

THE DIAGNOSIS

This dashboard must be reviewed at the start of every month before operational metrics are discussed. The habit of asking 'what did we learn about the market this month?' is what separates companies that scale from companies that stall.

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The diagnostic questions in this workbook are designed to be worked through in a leadership session. The answers that are hardest to write down — the ones that require looking at actual data rather than intuition — are the ones that matter most.

If working through these worksheets has surfaced a strategic question your leadership team cannot yet answer clearly — about where to compete, how to invest, or what to test before committing capital — that question is where the advisory work begins.

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